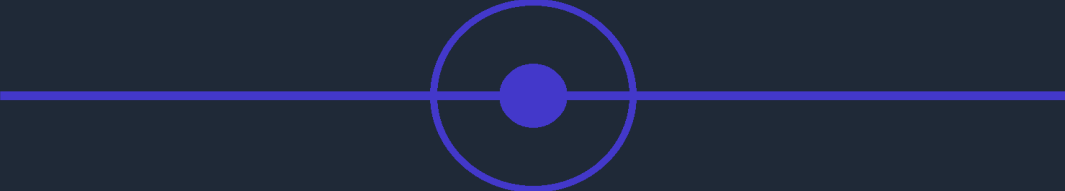


EU AI ACT COMPLIANCE TOOLKIT

*Achieving compliance with the EU AI Act in your small
to medium-sized business*



GALAXY FORGE PRESS

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INTRODUCTION

The European Union AI Act is a comprehensive regulation aimed at promoting transparency, accountability, and fairness in artificial intelligence systems. While the Act presents challenges for businesses, especially small and medium-sized enterprises (SMEs), it also offers opportunities for growth and innovation. This toolkit provides a step-by-step guide to help SMEs deploy AI systems in compliance with the EU AI Act. We will cover the key requirements, including risk classification, technical documentation, conformity assessment, human oversight, data governance, transparency, and disclosure. Whether you are a compliance officer, data protection officer (DPO), or founder, this toolkit will help you navigate the complexities of the EU AI Act and ensure a smooth compliance process.

Chapter 1: Understanding the EU AI Act

Overview of the EU AI Act and its key provisions The EU AI Act is a significant regulation aimed at ensuring the development and deployment of artificial intelligence (AI) systems in the European Union are transparent, accountable, and fair. The Act sets out to address the risks associated with AI, such as bias, discrimination, and loss of autonomy. Some of the key provisions include the requirements for risk classification, technical documentation, conformity assessment, human oversight, data governance, and transparency.

Chapter 1 Content

The EU AI Act will enter into force on January 1, 2024, and apply to all AI systems placed on the market or used within the EU. The regulation affects various sectors, including healthcare, finance, and transportation, where AI systems are used for decision-making or automation. It also covers online services, such as social media and e-commerce platforms, which use AI for content moderation, recommendation algorithms, or personalized advertising.

The EU AI Act identifies three types of AI systems: high-risk, limited-risk, and minimal-risk. High-risk AI systems include applications that pose significant risks to human safety or fundamental rights, such as autonomous vehicles or medical diagnosis tools. Limited-risk AI systems include applications that may pose some risks but are less severe, such as chatbots or customer service chatbots. Minimal-risk AI systems include applications that pose minimal risks, such as language translation tools.

The Act requires the EU and EU member states to establish a system of governance, including a regulatory framework, and to provide for public participation in the decision-making process. The regulation also emphasizes the importance of human oversight and intervention in AI systems, especially when they pose risks to human safety or fundamental rights.

SMEs must comply with the EU AI Act by classifying their AI systems as high-risk, limited-risk, or minimal-risk and by implementing the corresponding requirements. The classification process involves the use of a decision tree, which is outlined in the Act.

Chapter 2: AI System Risk Classification

AI system risk classification: prohibited, high-risk, limited-risk, and minimal-risk The EU AI Act requires SMEs to classify their AI systems as prohibited, high-risk, limited-risk, or minimal-risk. The classification process involves the use of a decision tree, which is outlined in the Act. SMEs must consider the potential risks associated with their AI systems and classify them accordingly.

Chapter 2 Content

Prohibited AI systems include applications that pose significant risks to human safety or fundamental rights, such as applications that use face recognition for mass surveillance or AI-powered weapons. High-risk AI systems include applications that may pose significant risks to human safety or fundamental rights, such as autonomous vehicles or medical diagnosis tools.

SMEs must also ensure that their AI systems are designed and implemented in a way that respects the principles of transparency and accountability. This includes providing users with clear information about the use of AI systems and ensuring that AI systems are able to explain their decisions and actions.

To classify an AI system as high-risk, SMEs must consider the following factors:

- * The intended use of the AI system
 - * The level of autonomy of the AI system
 - * The potential impact on human safety or fundamental rights
 - * The level of transparency and accountability in the AI system
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Chapter 3: Technical Documentation Requirements

Annex IV: Technical documentation for AI systems The EU AI Act requires SMEs to maintain technical documentation for their AI systems. The documentation must be sufficient to demonstrate the compliance of the AI system with the requirements of the Act.

Chapter 3 Content

The technical documentation includes the following:

- * A description of the AI system
- * A detailed explanation of the technical architecture of the AI system
- * A description of the data used by the AI system
- * A description of the algorithms used by the AI system
- * A description of the human oversight and intervention mechanisms
- * A description of the testing and validation procedures

SMEs must also maintain records of the documentation, including changes and updates. The documentation must be made available to competent authorities upon request.

Chapter 4: Conformity Assessment Procedures

Conformity assessment: self-certification, third-party certification, and conformity assessment bodies The EU AI Act requires SMEs to undergo conformity assessment procedures to demonstrate the compliance of their AI systems with the requirements of the Act.

Chapter 4 Content

SMEs may undergo self-certification, third-party certification, or conformity assessment by a conformity assessment body. Self-certification involves the SME's own assessment of the compliance of the AI system, while third-party certification involves the assessment of the AI system by an independent third party. Conformity assessment bodies are organizations that are accredited by the EU to carry out conformity assessment procedures.

SMEs must submit their AI systems to conformity assessment procedures upon request by competent authorities. The conformity assessment procedures involve the evaluation of the AI system against the requirements of the Act, including technical documentation, risk assessment, and conformity assessment.

Chapter 5: Human Oversight and Intervention

Human oversight and intervention: requirements and best practices The EU AI Act requires SMEs to ensure that their AI systems are designed and implemented in a way that respects the principles of human oversight and intervention.

Chapter 5 Content

Human oversight and intervention involve the involvement of humans in the decision-making process of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for human oversight and intervention, particularly when the AI system poses significant risks to human safety or fundamental rights.

Best practices for human oversight and intervention include:

- * Implementing a human oversight and intervention mechanism in the AI system
- * Ensuring that humans are involved in the decision-making process of the AI system
- * Providing users with clear information about the use of human oversight and intervention mechanisms
- * Ensuring that human oversight and intervention mechanisms are adequate and effective

Chapter 6: Data Governance and Quality Management

Data governance and quality management: requirements and best practices
The EU AI Act requires SMEs to ensure that their AI systems are designed and implemented in a way that respects the principles of data governance and quality management.

Chapter 6 Content

Data governance involves the management of data used by AI systems, including data collection, storage, and processing. SMEs must ensure that their AI systems are designed and implemented to allow for the management of data in a way that respects the principles of data protection and confidentiality.

Best practices for data governance and quality management include:

- * Implementing a data governance framework in the AI system
- * Ensuring that data is collected, stored, and processed in a way that respects the principles of data protection and confidentiality
- * Providing users with clear information about the use of data in the AI system
- * Ensuring that data is accurate, complete, and up-to-date

Chapter 7: Transparency and Disclosure

Transparency and disclosure: requirements and best practices The EU AI Act requires SMEs to ensure that their AI systems are designed and implemented in a way that respects the principles of transparency and disclosure.

Chapter 7 Content

Transparency and disclosure involve providing users with clear information about the use of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for the provision of clear information to users, particularly when the AI system poses significant risks to human safety or fundamental rights.

Best practices for transparency and disclosure include:

- * Providing users with clear information about the use of AI systems *
 - Ensuring that AI systems are able to explain their decisions and actions *
 - Providing users with information about the technical architecture of the AI system *
 - Ensuring that AI systems are transparent about their potential impact on human safety or fundamental rights
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Chapter 8: Conformity Assessment and Certification

Conformity assessment and certification: self-certification, third-party certification, and conformity assessment bodies The EU AI Act requires SMEs to undergo conformity assessment procedures to demonstrate the compliance of their AI systems with the requirements of the Act.

Chapter 8 Content

SMEs may undergo self-certification, third-party certification, or conformity assessment by a conformity assessment body. Self-certification involves the SME's own assessment of the compliance of the AI system, while third-party certification involves the assessment of the AI system by an independent third party. Conformity assessment bodies are organizations that are accredited by the EU to carry out conformity assessment procedures.

SMEs must submit their AI systems to conformity assessment procedures upon request by competent authorities. The conformity assessment procedures involve the evaluation of the AI system against the requirements of the Act, including technical documentation, risk assessment, and conformity assessment.

Chapter 9: Human Oversight and Intervention: Best Practices

Best practices for human oversight and intervention Human oversight and intervention involve the involvement of humans in the decision-making process of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for human oversight and intervention, particularly when the AI system poses significant risks to human safety or fundamental rights.

Chapter 9 Content

Best practices for human oversight and intervention include:

- * Implementing a human oversight and intervention mechanism in the AI system
- * Ensuring that humans are involved in the decision-making process of the AI system
- * Providing users with clear information about the use of human oversight and intervention mechanisms
- * Ensuring that human oversight and intervention mechanisms are adequate and effective

Chapter 10: Data Governance and Quality Management: Best Practices

Best practices for data governance and quality management Data governance involves the management of data used by AI systems, including data collection, storage, and processing. SMEs must ensure that their AI systems are designed and implemented to allow for the management of data in a way that respects the principles of data protection and confidentiality.

Chapter 10 Content

Best practices for data governance and quality management include:

- * Implementing a data governance framework in the AI system
- * Ensuring that data is collected, stored, and processed in a way that respects the principles of data protection and confidentiality
- * Providing users with clear information about the use of data in the AI system
- * Ensuring that data is accurate, complete, and up-to-date

Chapter 11: Transparency and Disclosure: Best Practices

Best practices for transparency and disclosure Transparency and disclosure involve providing users with clear information about the use of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for the provision of clear information to users, particularly when the AI system poses significant risks to human safety or fundamental rights.

Chapter 11 Content

Best practices for transparency and disclosure include:

- * Providing users with clear information about the use of AI systems *
 - Ensuring that AI systems are able to explain their decisions and actions *
 - Providing users with information about the technical architecture of the AI system *
 - Ensuring that AI systems are transparent about their potential impact on human safety or fundamental rights
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Chapter 12: Conformity Assessment and Certification: Self-Certification

Self-certification: a step-by-step guide Self-certification involves the SME's own assessment of the compliance of the AI system. SMEs must ensure that their AI systems meet the requirements of the EU AI Act.

Chapter 12 Content

To self-certify an AI system, SMEs must:

* Review the requirements of the EU AI Act * Conduct a risk assessment of the AI system * Prepare a technical documentation package * Conduct a self-assessment of the AI system * Maintain records of the self-certification process

Chapter 13: Conformity Assessment and Certification: Third-Party Certification

Third-party certification: a step-by-step guide Third-party certification involves the assessment of the AI system by an independent third party. SMEs must ensure that their AI systems meet the requirements of the EU AI Act.

Chapter 13 Content

To obtain third-party certification of an AI system, SMEs must:

* Choose a conformity assessment body * Prepare a technical documentation package * Conduct a test and validation procedure * Meet with the conformity assessment body to discuss the results * Obtain certification

Chapter 14: Human Oversight and Intervention: Implementation

Implementing human oversight and intervention in AI systems Human oversight and intervention involve the involvement of humans in the decision-making process of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for human oversight and intervention, particularly when the AI system poses significant risks to human safety or fundamental rights.

Chapter 14 Content

To implement human oversight and intervention in an AI system, SMEs must:

- * Design and implement a human oversight and intervention mechanism *
 - Ensure that humans are involved in the decision-making process of the AI system *
 - Provide users with clear information about the use of human oversight and intervention mechanisms *
 - Ensure that human oversight and intervention mechanisms are adequate and effective
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Chapter 15: Data Governance and Quality Management: Implementation

Implementing data governance and quality management in AI systems Data governance involves the management of data used by AI systems, including data collection, storage, and processing. SMEs must ensure that their AI systems are designed and implemented to allow for the management of data in a way that respects the principles of data protection and confidentiality.

Chapter 15 Content

To implement data governance and quality management in an AI system, SMEs must:

- * Design and implement a data governance framework
- * Ensure that data is collected, stored, and processed in a way that respects the principles of data protection and confidentiality
- * Provide users with clear information about the use of data in the AI system
- * Ensure that data is accurate, complete, and up-to-date

Chapter 16: Transparency and Disclosure: Implementation

Implementing transparency and disclosure in AI systems Transparency and disclosure involve providing users with clear information about the use of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for the provision of clear information to users, particularly when the AI system poses significant risks to human safety or fundamental rights.

Chapter 16 Content

To implement transparency and disclosure in an AI system, SMEs must:

- * Design and implement a transparency and disclosure mechanism
- * Ensure that AI systems are able to explain their decisions and actions
- * Provide users with information about the technical architecture of the AI system
- * Ensure that AI systems are transparent about their potential impact on human safety or fundamental rights

Chapter 17: Conformity Assessment and Certification: Best Practices

Best practices for conformity assessment and certification Conformity assessment involves the evaluation of the AI system against the requirements of the Act. SMEs must ensure that their AI systems meet the requirements of the EU AI Act.

Chapter 17 Content

Best practices for conformity assessment and certification include:

* Ensuring that the conformity assessment body is accredited by the EU *
Ensuring that the conformity assessment process is transparent * Ensuring
that the conformity assessment process is fair and objective * Maintaining
records of the conformity assessment process

Chapter 18: Human Oversight and Intervention: Risk Assessment

Risk assessment: a step-by-step guide Human oversight and intervention involve the involvement of humans in the decision-making process of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for human oversight and intervention, particularly when the AI system poses significant risks to human safety or fundamental rights.

Chapter 18 Content

To conduct a risk assessment of an AI system, SMEs must:

- * Identify potential risks associated with the AI system
- * Assess the likelihood and potential impact of the risks
- * Determine the level of human oversight and intervention required
- * Implement measures to mitigate the risks
- * Continuously monitor and evaluate the AI system

Chapter 19: Data Governance and Quality Management: Risk Assessment

Risk assessment: a step-by-step guide Data governance involves the management of data used by AI systems, including data collection, storage, and processing. SMEs must ensure that their AI systems are designed and implemented to allow for the management of data in a way that respects the principles of data protection and confidentiality.

Chapter 19 Content

To conduct a risk assessment of an AI system, SMEs must:

- * Identify potential risks associated with the AI system
- * Assess the likelihood and potential impact of the risks
- * Determine the level of data governance required
- * Implement measures to mitigate the risks
- * Continuously monitor and evaluate the AI system

Chapter 20: Transparency and Disclosure: Risk Assessment

Risk assessment: a step-by-step guide Transparency and disclosure involve providing users with clear information about the use of AI systems. SMEs must ensure that their AI systems are designed and implemented to allow for the provision of clear information to users, particularly when the AI system poses significant risks to human safety or fundamental rights.

Chapter 20 Content

To conduct a risk assessment of an AI system, SMEs must:

* Identify potential risks associated with the AI system * Assess the likelihood and potential impact of the risks * Determine the level of transparency and disclosure required * Implement measures to mitigate the risks * Continuously monitor and evaluate the AI system

CONCLUSION

Achieving compliance with the EU AI Act requires a comprehensive and ongoing effort. SMEs must ensure that their AI systems are designed and implemented to respect the principles of transparency, accountability, and fairness. This toolkit provides a step-by-step guide to help SMEs comply with the EU AI Act, including risk classification, technical documentation, conformity assessment, human oversight, data governance, transparency, and disclosure.
